AFRL/RI - SPECIFIC
PROPOSAL PREPARATION INSTRUCTIONS FOR OTHER TRANSACTIONS FOR PROTOTYPE
MAR 2026

I. General Information

a. This information is to supplement the BAA Guide for Industry.

b. All awards resulting from this announcement will contain the mandatory AFRL standard final technical report Agreement Data Requirements List (ADRL) item that requires technical data delivered with less-than-unlimited rights to be contained in a separate appendix to the final technical report. The goal of this standard is to allow AFRL to more widely publish final reports (without the less-than-unlimited-rights appendices).

c. Proposers are cautioned that evaluation ratings may be lowered and/or proposal rejected if proposal preparation (proposal format, content, etc.) and/or submittal instructions are not followed.

d. **REFERENCES TO THE FEDERAL ACQUISTION REGULATION (FAR) AND FAR SUPPLEMENTS RELATED TO OT AWARDS. The requirements of 10 USC 3016 do not apply to the awards of OTs under this solicitation per the statutory authority at 10 USC 4021 (previously 10 USC 4002, 2371) , 10 USC 4022 (previously 10 USC 4003, 2371b) and 10 USC 4023 (previously 10 USC 4004, 2373). Any references to the FAR or FAR Supplements are included in this ARA (or BAA) strictly for the sake of convenience (that is, in lieu of including the requirements in full text in this solicitation and are not to be construed to imply that the requirements of 10 USC 3016 as a whole apply to this solicitation**

e. ***The Government anticipates this effort to be an Other Transaction for Prototype (OTP). Therefore, one of the following must be met:***

i. At least one **Nontraditional Defense Contractor or non-profit research institution** participating to a significant extent in the prototype project; or
ii. ALL significant participants in the transaction other than the Federal Government are **Small Businesses**, including those participating in the Small Business Innovation Research (SBIR) or Small Business Technology Transfer (STTR) programs or **Nontraditional Defense Contractors;** or
iii. A **Cost Share** of at least 1/3 of the Total Cost of the prototype project is to be paid out of funds provided by parties to the transaction other than the Federal Government.

f. The following applies to Other Transactions:

i. NON-TRADITIONAL DEFENSE CONTRACTOR: An entity that is not currently performing and has not performed, for at least the one-year period preceding the solicitation of sources by DoD for the procurement or transaction, any contract or subcontract for the DoD that is **subject to full coverage under the cost accounting standard**s, prescribed pursuant to section 1502 of title 41 and the regulations implementing such section (see 10 U.S.C. 2302(9)). The Government is seeking non-traditional defense contractors or nonprofit research institutions to serve as Primes under this solicitation.

ii. SIGNFICANT EXTENT: Any offeror interested in submitting a response to the solicitation who does not meet the definition of a non-traditional defense contractor above, must have a subcontractor who meets the definition participate to a significant extent. Significant participation is defined as supplying a new key technology or product, accomplishing a significant amount of the effort, causing a material reduction in the cost or schedule, and/or causing an increase in the performance, as determined by the Agreements Officer.

iii. COST SHARING OR MATCHING: If there is no non-traditional defense contractor nor nonprofit research institution participating to a significant extent, then at least one-third of the total cost of the prototype project must be paid out of funds provided by non-Federal parties to the transaction.

iv. PROTOTYPE PROJECT: All prototype OTs shall contain a provision that sets forth the conditions under which that prototype agreement must be successfully completed.

v. Provide documentation that your accounting system is Generally Accepted Accounting Principles (GAAP) compliant. Offerors must also self certify that they (or their subcontractor who will be participating to a significant extent) are a Nontraditional Defense Contractor, who is defined as an entity that is not currently performing and has not performed, within one year period prior to solicitation, any contract or subcontract for the DoD subject to full CAS coverage. Examples of a GAAP compliant accounting system should have complete, accurate, and current records that document the sources of funds and purposes for which they are disbursed. It should also have procedures for ensuring that project funds are only used for purposes permitted by the OT terms. See the DoD OT guide for additional information.

g. Proposals should contain four sections (Business, Technical Proposal, Proposed Statement of Work, and Cost). The following is a discussion of required content.

S&T Protection.

I. Notice of Intent.

(a) Security Risk Review. Each proposal submission will be subject to a Security Risk Review prior to selection for award. The Security Risk Review is applied to federally funded research designed to help protect Department of the Air Force Science and Technology (S&T) by identifying possible vectors of undue foreign influence. AFRL will follow all policy and procedures outlined in Air Force Research Laboratory (AFRL) Instruction AFRLI 61-113, Science and Technology Protection for the Air Force Research Laboratory and Department of the Air Force Instruction DAFI 63-101/20-101, Integrated Lifecycle Management.

(b) Security risk review for these subject proposals will be developed for all proposed Senior/Key personnel and "Covered Individuals". These risk reviews will be based on information disclosed in a Research and Related Senior and Key Person Profile and Security Questionnaire. In addition, any accompanying or referenced documents, publicly available information, and information contained in internal U.S. Government databases will be utilized in risk reviews. Nationality or citizenship is not a factor in the security risk reviews.

(c) When considering all external engagements, AFRL incorporates a holistic decision-making process that encompasses technical and security factors. The security review method implemented by AFRL measures risk factors to identify the appropriate Risk Acceptance Level (RAL) within the organization. The objective analysis of the security risk factors is conducted to empower AFRL's S&T leaders to make risk-informed decisions. The review process generally looks at five factors, or risk areas, but with authority for expanded review as noted in OSD R&E Memorandum dated 6 Jun 2023. The potential security risk factors are set forth below:

Potential security risk factors:

(1) Foreign Talent Program	(2) Funding	(3) Foreign Institutions	(4) Denied Entities	(5) U.S. Government Systems
Indicators of active and past participation or sponsorship in a strategic competitor Foreign Talent Program with history of targeting U.S. research or technology.	Indicators of active, historical, or pattern of conflict of interest, conflict of commitment, or pattern of direct funding from a strategic competitor or country with history of targeting U.S. research or technology.	Indicators of active, historical, or pattern of association with direct affiliation, collaboration with a foreign institution, person, or entity associated with a strategic competitor or country with history of targeting U.S. research or technology.	Indicators of an active affiliation or past affiliation or present association with an entity on the U.S. Gov't denied entity or person list or EO 13959 or subsequent similar issuances	Indicators that may reside in safeguarded U.S. government environments, according to its ascribed classification and not releasable for public consumption.

II. Actions Required by Applicants/Recipients at proposal submission.

(a) In accordance with AFRLI 61-113, S&T Protection, Applicants/Recipients are required to submit the following documentation with their proposal:

(2) Contract or Other Transaction Agreement (OTA) proposals:

(i) Research and Related Senior and Key Person Profile Worksheet (See Appendix 3) AND;

(ii) Security Program Questionnaire (See Appendix 2) AND;

(iii) "Privacy Act Statement" consent form for each Covered Individual that is also signed by the Applicant/Recipient as that Individual's Sponsor. (See "Covered Individual" section below, and Appendix 4)

Complete and submit the required forms with your proposal to the technical point of contact (TPOC) listed on the RFP AND AFRL.RIOF@us.af.mil.

(3) In the event a security risk is identified, and the Government has determined the security risk exceeds the acceptable threshold, the Applicant/Recipient will be notified and informed of the decline of award. **The Government will only provide a general statement of the reasoning due to Government OPSEC measures.**

(4) By submission of the Research and Related Senior Key Person Profile and Security Program Questionnaire, the Applicant/Recipient agrees to comply with the following:

(i) To certify that each covered individual who is listed on the application has been made aware: 1) of all relevant disclosure requirements, including the requirements of 42 U.S.C. § 6605; and 2) that false representations may be subject to prosecution and liability pursuant to, but not limited to, 18 U.S.C. §§287, 1001, 1031 and 31 U.S.C. §§ 3729-3733 and 3802. See National Science and Technology Council Guidance for Implementing National Security Presidential Memorandum 33 (NSPM-33) on National Security Strategy for United States Government-Supported Research and Development (January 2022).

(ii) To establish and maintain an internal process or procedure to address foreign talent programs, conflicts of commitment, conflicts of interest, and research integrity.

(iii) To exercise due diligence to identify Foreign Components or participation by Senior/Key Personnel in Foreign Government Talent Recruitment Programs and agree to share such information with the Government upon request.

III. Actions Required by Covered Individuals.

(a) Covered Individual. An individual who contributes to a substantive, meaningful way to the scientific development or execution of a research and development project proposed to be carried out with a research and development award from a federal research agency; and is designated as a covered individual by the federal research agency concerned. See 42 U.S.C. § 6605, Definitions. (Note: For purposes of the solicitation, "covered individuals" are all Senior/Key Personnel.)

(b) Federal law requires that all current and pending research support, as defined by 42 U.S.C. §6605, must be disclosed at the time of proposal submission, for all covered individuals. The Government may require an updated disclosure during the performance of any research project selected for funding. The Government will require an updated disclosure whenever covered individuals are added or identified as performing under the funded project.

(c) Covered Individuals are also required to sign the "Privacy Act Statement" and provide such signed statement to the Applicant/Recipient for submission with the proposal. (See Appendix 4)

(d) Any decision to accept a proposal for funding under this announcement will include full reliance on the individual's statements. Failure to report fully and completely all sources of project support and outside positions and affiliations may be considered a material statement within the meaning of the False Claims Act, 31 U.S.C. 3729, and constitute a violation of Federal law.

IV. Actions required by Applicants/Recipients during period of performance:

(a) Applicant/Recipient will be required to re-submit the Research and Related Senior and Key Person Profile as an annual requirement. In addition, whenever a new covered individual(s) is to be added or identified as performing under the funded project, a new Research and Related Senior and Key Person Profile will be required prior to continued performance.

(b) If, at any time, during performance of this award, the Applicant/Recipient learns that its Senior/Key Research Personnel (including any sub awardee personnel who receive this designation) are or are believed to be participants in a Foreign Government Talent Program or have Foreign Components with a strategic competitor or country with a history of targeting U.S. technology for unauthorized transfer, the Applicant/Recipient will notify the Contracting/Grants/Agreements Officer within 5 business days of awareness.

(c) This disclosure must include specific information as to the personnel involved and the nature of the situation and relationship. The Government will review this information and conduct any necessary fact-finding or discussion with the Applicant/Recipient. The Government's determination on disclosure may include acceptance, mitigation, or termination of the award.

(d) Failure of the Applicant/Recipient to reasonably exercise due diligence to discover or ensure that neither it nor any of its Senior/Key Research Personnel involved in the subject award are participating in a Foreign Government Talent Program or have a Foreign Component with a strategic competitor or country with a history of targeting U.S. technology for unauthorized transfer may result in the Government exercising remedies in accordance with federal law and regulation.

(e) The Applicant/Recipient will be required to flow down this provision to all sub awardees who have personnel designated as Senior/Key Research Personnel as a result of their involvement in the performance of the research.

II. Business Section. This section will provide the following information and any other information deemed relevant. If an item does not apply, please state "N/A".

a. Validity Period

b. Award Instrument/Contract Type Requested

c. Place of Performance

d. Period of Performance

e. CAGE Code

f. Authorized Negotiators

g. Data Rights and Data Rights Identification and Assertion
   1) **IDENTIFICATION AND ASSERTION OF USE, RELEASE, OR DISCLOSURE RESTRICTIONS**. Please complete and include Appendix 1 hereto with your proposal. Also, if applicable, please state any SBIR Data Rights currently in effect, including their start and end date and contract number/Government award they are based on.
   2) REMEMBER – this assertion is for deliverables under the proposed contract ONLY. If the item is used but not part of the end deliverable, do not list it.
   3) Do not list commercial items with commercial licenses. These should be identified elsewhere.

h. Foreign Participation

1) For each foreign national involved in your effort, either employee or subcontractor/consultant, include visa information. Also, a copy of the DD Form 2345 must be provided, even if fundamental research is proposed.

If the requirement is classified as ITAR or Export Controlled, the resulting contracts shall comply with all U.S. export control laws and regulations, including the ITAR and the Export Administration Regulations (EAR). Offerors are responsible for ensuring that all employees who will work on this contract are eligible under export control and International Traffic in Arms (ITAR) regulations. Any employee who is not a U.S. citizen or a permanent resident may be restricted from working on this contract if the technology is restricted under export control and ITAR regulations unless the prior approval of the Department of State or the Department of Commerce is obtained via a technical assistance agreement or an export license. Violations of these regulations can result in criminal or civil penalties. For further information on ITAR visit https://www.pmddtc.state.gov/ddtc_public?id=ddtc_public_portal_itar_landing.

i. Any Restrictions/Sensitivities regarding the Proposed Deliverables. Provide details on any of the following:
   1) Export-Controlled Items/Information
   2) Item Unique Identification and Validation
   3) Safeguarding of Unclassified Controlled Technical Information
   4) Protection of Human Subjects – Institutional Review Board (IRB)

j. Address Limitation on Pass-Through Charges, if applicable

k. Contractor Business Systems
   1) The Government contemplates award of a Cost-Plus-Fixed-Fee (Completion) type contract resulting from this proposal. Your accounting system must be GAAP complaint to receive a CPFF OT. **If you do not have a GAAP compliant accounting system, a firm fixed price (FFP) contract might be a viable option, at the Government's discretion. If you wish to pursue a FFP type contract and require milestone payments, please be sure to structure your proposal for payable milestones.**

l. Subcontractors/Consultants

III. Technical Proposal

a. Technical Proposal Structure and Contents**:** Format of the proposal shall be as follows: Proposals shall be prepared on 8 ½ x 11 inch paper, single spaced, and have no less than a 1/2-inch margin and a type size of 12 font.

b. FUNDAMENTAL RESEARCH. It is DoD policy that the publication of products of fundamental research will remain unrestricted to the maximum extent possible. National Security Decision Directive (NSDD) 189 defines fundamental research as follows:

"Fundamental research" means basic and applied research in science and engineering, the results of which ordinarily are published and shared broadly within the scientific community, as distinguished from proprietary research and from industrial development, design, production, and product utilization, the results of which ordinarily are restricted for proprietary or national security reasons.

As of the date of publication of this solicitation), the Government does not anticipate work proposed under this solicitation to be considered fundamental research. Proposers should indicate in their proposal whether they believe the scope of the research included in their proposal is fundamental or not. While proposers should clearly explain the intended results of their research, the Government shall have sole discretion to select award instrument type and to negotiate all instrument terms and conditions with selectees. Appropriate clauses will be included in resultant awards for non-fundamental research to prescribe publication requirements and other restrictions, as appropriate.

For certain research projects, it may be possible that although the research being performed by the awardee is restricted research, a sub-awardee may be conducting fundamental research. In those cases, it is the awardee's responsibility to explain in their proposal why its sub-awardee's effort is fundamental research.

c. CLOUD COMPUTING. If the development proposed requires storage of Government, or Government-related data on the cloud, offerors need to ensure that the cloud service provider proposed has been granted Provisional Authorization by the Defense Information Systems Agency (DISA) at the level appropriate to the requirement.

IV. Offeror Statement of Work

a. This document should be a separate section in your proposal. Further guidance on Statement of Work (SOW) preparation can be found at the following link: https://sam.gov/opp/e628c811fafe041accdddf55fb8539bf/view?keywords=AFRL-BAA-Guide&sort=-relevance&index=&is_active=true&page=1

V. Cost Proposal*

a. **The Cost Proposal Table of Contents**: The Table of Contents, as follows, must be used when preparing cost proposals. ***Items 1, 2, 3, 4 and 12 are required for all proposals. Do not omit any topics or elements. Round all dollar amounts to the nearest whole number. Add additional categories as needed. Note as "N/A" any topics below that do not apply.***

b. **See Appendix 6 for a sample pricing template. USE OF THIS TEMPLATE IS OPTIONAL AND NOT REQUIRED.**

COST PROPOSAL
TABLE OF CONTENTS

ITEM	PAGE NO.
1. Summary by cost element and fixed fee for total proposal, including yearly breakout of costs by Government fiscal year.	_____
2. Labor summary for total proposal by categories, rates, and hours. List all key personnel by name as well as the number of hours each will dedicate to the project.	____
3. Explanation of how labor rates are computed including base rates (actuals) and escalation, if any. Provide a copy of any approved rate agreements (Defense Contract Audit Agency (DCAA), Defense Contract Management Agency (DCMA), the Office of Naval Research (ONR) etc. if applicable.	_____
4. Identification of all indirect rates by fiscal year (such as fringe benefits, labor overhead, material overhead, G&A, or F&A, etc.) and the basis for each.	_____
5. Bill of Materials detailing items by type, quantity, unit price, total amount and source of estimate. Provide vendor written quotes or screenshots of material quotes.	_____
6. Summary of all travel, including the purpose and number of trips, origin and destination(s), duration, travelers per trip and all travel costs (air fare, per diem, car rental, etc.).	_____
7. Consultants by name, rate and number of days or hours. Furnish copy of consulting agreement, and identify prior agreement(s) under which the consultant commanded proposed rate, as well as the consultant's resume.	_____
8. Computer use by type, rate and quantity, if charged direct.	_____
9. Other direct costs by type, amount, cost per unit and purpose (specifically identify any costs for printing or publication).	_____
10. Subcontractor's proposal, with prime offeror's price/cost analysis of subcontractor's proposal . If subcontract was not competed, include justification.	_____
11. Forecast of monthly & cumulative dollar commitments for the proposed contract period.	_____
12. Interdivisional transfers (detailed breakout of costs).	_____
13. If conference attendance is proposed at the Prime or Subcontractor level, provide the following for each conference: the specific conference(s) that attendance to is anticipated, the purpose for attendance, details on how attendance specifically supports the proposed work and mission under the effort, and a quote or basis for the proposed registration fee.	_____

**** If proposal is selected, an Excel spreadsheet of proposals may be requested if deemed necessary by evaluators.***

c. **Subcontractors**: Subcontractors' proposals must be similarly structured. All subcontracted work must be properly identified as such.

If a subcontractor elects to submit an abbreviated proposal to the offeror, it is the offeror's responsibility to ensure the subcontractor submits a complete proposal (unburden rates, etc.) directly to the Government's point of contact.

The offeror must provide an analysis of subcontractors' cost proposals. To that end, offeror's proposal must:

(1) Identify principal items/services to be subcontracted.
(2) Identify prospective subcontractors and the basis on which they were selected. If non-competitive, provide selected source justification.
(3) Identify the type of contractual business arrangement contemplated for the subcontract and provide a rationale for same.
(4) Identify the basis for the subcontract costs (e.g., firm quote or engineering estimate, etc).
(5) Identify the cost or pricing data or information other than cost or pricing data submitted by the subcontractor.
(6) **Provide an analysis of the proposed subcontract.).** Provide an analysis concerning the reasonableness, realism and completeness of each subcontractor's proposal. If the analysis is based on comparison with prior prices, identify the basis on which the prior prices were determined to be reasonable. The analysis should include, but not be limited to, an analysis of: materials, labor, travel, other direct costs and proposed profit or fee rates.

NOTE: Failure to provide an adequate analysis of subcontractors' proposals will result in unplanned delay in award, hamper program execution, and could result in failure to award.

An analysis of the subcontractor's costs **MUST** be accomplished and submitted whenever a subcontractor is involved (no dollar limitation).

Please start your prime's analysis for each subcontractor with the following:

1) A brief description of the supplies or services to be subcontracted.

2) Identification of the type of subcontract to be used (e.g., cost-plus-fixed-fee, firm-fixed-price, etc.) along with justification for the type of subcontract selected. Explain why it makes sense given the work to be performed by the sub and the contract type selected for the prime contract. For other than FFP type subcontracts, the selection needs to consider the adequacy of the subcontractor's accounting system to ensure that it will permit timely development of all necessary cost data in the form required by the proposed contract type. Some primes think that a T&M type subcontract is a viable alternative to a CPFF type subcontract if the sub doesn't have an adequate accounting system; however, this is not the case. T&M contracts still require an adequate accounting system for accurately tracking

number of labor hours expended and material costs incurred. Reference FAR 16.104(i). Confirm subcontractor accounting systems with DCMA.

3) Rationale for how the subcontractor was chosen (e.g., competitive selection, single source solicited due to unique technical expertise in the area(s) of _____, etc.). Need rationale as to why prime did not compete subcontract if that's the case.

4) For other than FFP type subcontracts, documentation from the prime to show how they will provide appropriate surveillance of subcontractor performance so as to give reasonable assurance that efficient methods and effective cost controls will be used.

The prime contractor must provide for each subcontractor an analysis that documents the reasonableness, realism and completeness of the subcontractor's proposal. Analysis should include but not be limited to a statement as to whether the subcontract will be competitively selected or awarded on a sole source basis, an analysis of materials, labor and reasonableness of other direct costs (types and quantities), and proposed fee/profit rates. Merely a statement concerning technical necessity does not demonstrate reasonableness, realism and completeness.

LABOR: Comments should be made concerning the adequacy of the proposed labor hours and mix. The labor rates, which may be fully burdened, should be reviewed and comments should be provided regarding the reasonableness of the rates and how those rates were determined to be reasonable. For instance, proposed rates may be compared to rates negotiated for previous efforts, to the prime's own similar type rates or to other subcontractor's similar type proposed rates. The Prime should provide details of the comparison which clearly depicts the specific rates used in the comparison.

MATERIAL: These costs should be reviewed and comments should be made concerning quantities, types and needs of material items. In addition, a value review of the materials should be performed and submitted (is the value of the item commensurate with the effort's requirement).

TRAVEL: Comments should be made concerning the duration, number of trips, number of travelers and necessity of proposed trips as well as the reasonableness of the per diem rates, air fares, and car rental rates. If conferences are proposed, provide the following details for each conference: the specific conference(s) name(s) anticipated to attend, the purpose of conference attendance and how it specifically supports the proposed work and mission under the effort, and a quote or basis for the proposed conference registration fee.

OTHER DIRECT COSTS: These costs should be reviewed and comments made concerning the necessity and reasonableness of the proposed costs and how the proposed costs were determined to be reasonable.

FEE/PROFIT: Is the fee/profit reasonable for the type effort contemplated? Support your conclusions.

If you take exception to any of the subcontractor's proposed cost or fee/price elements, highlight these changes in your analysis and incorporate into your cost proposal.

d. **Changes to Pricing Proposals**: Changes to previously submitted proposals must include documentation indicating how a previously submitted proposal is impacted or affected. If changes to the original proposal are relatively insignificant and involve only minor changes to elements such as labor rates, overhead and General and Administrative (G&A) rates, bill of material changes, travel costs, and Other Direct Costs (ODC's), these changes can be accomplished through the use of change pages or slip pages accompanied by new cost summaries.

5 Appendices:
Appendix 1 - Identification and Assertion Form
Appendix 2-Security Program Questionnaire
Appendix 3-Research and Related Senior and Key Person Profile Worksheet
Appendix 4-AFRL Privacy Act for Covered Individuals Fillable PDF
Appendix 5-Reserved
Appendix 6- Sample pricing template (for OPTIONAL but HIGHLY RECOMMENDED us